Kioxia Holdings (285A / KXIAY) Buy-Side Research Memo

Date: 29October 2026

Framework: AOIS v1.3

Research State: WATCH

AOIS: Medium–Strong | **Confidence:** Strong | **Fragility:** Very Strong

1. Investment Thesis

Kioxia is one of the world's major NAND Flash and Enterprise SSD manufacturers, with approximately 14% global NAND revenue share in Q2 2026. The current core investment thesis is that AI inference, KV cache, and data-centre storage demand are driving greater enterprise SSD penetration, potentially shifting NAND from a traditional highly cyclical commodity towards a key component of the AI memory hierarchy. At the same time, the sharp rise in NAND ASP is generating very strong earnings leverage. In Q2 2026, global NAND market revenue increased by approximately 70% quarter-on-quarter, while ASP rose by approximately 55%.

However, the current valuation already implies a relatively strong expectation that Kioxia's earnings base has structurally moved higher. Therefore, the true Variant Perception is not simply that "NAND prices will continue to rise", but rather:

Can AI storage allow Kioxia's normalized earnings to remain structurally and materially above historical NAND-cycle levels over the long term?

2. Fundamental Momentum

In FY2025, Kioxia generated revenue of ¥2.34T, operating profit of ¥870bn, and net profit of ¥554bn, representing a significant improvement from the previous financial year.

FY2026 Q1 moved further into a super-cycle environment, with publicly available data indicating revenue of approximately ¥1.77T and operating profit of approximately ¥1.27T, implying an operating margin close to 72%. This level of profitability clearly should not be treated as a normal long-term margin. The main drivers include AI data-centre demand, the sharp increase in NAND ASP, and an improved mix of higher-value SSD products.

The balance sheet has also improved materially. In October, S&P upgraded the company's credit rating to BBB; balance-sheet and debt risk are therefore no longer the core investment issue.

3. TOPIX Flow Catalyst

JPX has confirmed that Kioxia's TOPIX free-float weight will increase from 15% in two stages:

- **30 October: 32.5%**
- **30 November: 50%**

Daiwa Securities estimates that the first-stage adjustment will increase Kioxia's TOPIX weight from approximately 0.57% to approximately 1.248%, generating around **¥1.1T** of passive buying demand in October and a further **¥1.1T** in November, for a total of approximately **¥2.2T**. This figure is a broker estimate rather than a guaranteed inflow determined by JPX.

On 28 October, Kioxia closed at ¥14,340, up 13.76%, with trading volume of 107.6 million shares. Based on trading value, the estimated passive flow is broadly equivalent to around one recent average daily trading volume, making the index adjustment a **very strong but highly visible short-term catalyst**.

4. Valuation

The largest valuation trap at present is to calculate a low P/E directly from super-cycle EPS.

If current peak-cycle earnings are annualised, Kioxia may appear to trade on a low single-digit forward P/E. However, FY2025 net profit was only ¥554bn, while the NAND industry has historically displayed very strong mean reversion. Valuation therefore needs to be based on normalized earnings.

Internal scenario framework:

Scenario	Normalized Net Income	Implied View
Bear	¥0.4–0.6T	NAND cycle normalises; current price is materially overvalued
Base	¥1.0–1.3T	AI raises the earnings base, but current valuation remains relatively full
Bull	¥1.8–2.2T	AI storage creates a structurally new cycle; current price then offers meaningful upside

Therefore, **the current price only offers meaningful asymmetric upside if long-term net income can remain sustainably close to or above ¥2T.**

5. Key Risks

The strongest Bear Case is:

The market believes it is buying AI Storage Growth, but is actually buying NAND Peak Earnings.

The main risks include falling NAND ASP due to additional supply, industry CAPEX expansion, rising YMTC market share, slowing enterprise SSD demand, and normalisation of today's exceptionally high profitability. Counterpoint data indicate that YMTC also reached approximately 14% NAND revenue share in Q2 2026, broadly in line with Kioxia.

In addition, the market currently carries relatively high leveraged long exposure, which could become a natural source of selling into TOPIX-related passive demand and therefore reduce the theoretical price impact. Recent public reporting indicates that margin-buying balances had reached approximately ¥920bn.

6. Catalyst

Key near-term events:

29–30 October: First-stage TOPIX rebalance

30 October, 18:45 JST: FY2026 Q2 earnings release

30 November: Second-stage TOPIX FFW increase to 50%

The key items to monitor in the earnings release are not simply quarterly EPS, but:

NAND ASP trends, enterprise SSD demand, bit shipments, CAPEX discipline, customer inventories, and FY2027 supply-demand guidance.

7. AOIS Conclusion

Hard Filter: Passed

Catalyst: Very Strong

Mispricing: Medium

Survivability: Very Strong

Fragility: Very Strong

Final State: WATCH

Kioxia is not a typical "low-P/E value stock". It is a high-beta asset currently positioned at the intersection of AI demand, a NAND super-cycle, and significant index-driven capital

flows. Near-term catalysts are very strong, but the current price already reflects substantial earnings upgrades. The next step should be to reassess normalized earnings after the 30 October results; only if the long-term earnings base can be sustained at approximately ¥1.5–2.0T or above, while supply discipline remains intact, should the thesis be considered for an upgrade towards **THESIS READY**.

Therefore, the potential trading opportunity currently remains in a **right-side wait-and-see state**, pending tomorrow's earnings release before reassessing the setup.

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